Nambiar's plight will sound familiar to millions of middle- and low-income households across the country, as the prices of all items of daily life—from food to fast-moving consumer goods, garments to shoes and cosmetics, cooking gas to petrol and diesel—have shot up. What hasn't are incomes or job opportunities, making an already fraught existence even more perilous. The Covid-19 pandemic had robbed humanity of two productive years; Putin's ill-conceived war on Ukraine that began on February 24 will ensure that the misery lasts even longer.

The international oil economy was the first to heat up. In India, fuel price hikes were kept at bay till the result of the assembly elections in five states were declared on March 10. Then the floodgates opened, so to speak. Breaching first the psychological barrier of Rs 100 a litre, petrol prices went up by Rs 10 a litre in a month's time, touching Rs 120.51 in Mumbai (the highest ever) and Rs 105.41 in Delhi on April 9, while diesel also hit record levels at Rs 104.77 in Mumbai and Rs 96.67 in the national capital on the same day. The higher fuel prices had a cascading effect across the supply chain, making the production and transportation of goods dearer. Paying the price was the average consumer, their income already curtailed, now forced to further scale down their choices, if not give them up altogether.

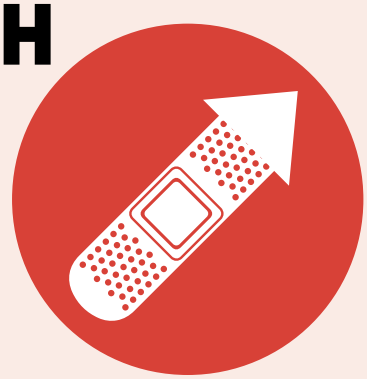
Manufacturers are not having it easy either. They are battling the higher cost of inputs, with the prices of commodities such as steel, aluminium, copper and nickel having risen 10-15 per cent in the past few weeks. This is hurting their margins, while the higher transportation and insurance costs are exerting pressure on their cash flows to fund operations. There is mayhem in the construction sector too, as the rising prices of key building materials such as steel and cement have made the construction of homes and commercial buildings nearly 15 per cent costlier. This could lead to an appreciation in property prices this year, impacting demand for homes and offices.

Retail inflation, meanwhile, skimmed the 7 per cent mark in March, threatening to undo the nascent rebound in economic growth following three waves of the Covid-19 pandemic. The Reserve Bank of India has resisted the urge so far to raise key policy rates—it did not do so in its recent monetary policy review though it did scale up its inflation projection to 5.7 per cent for FY23—but that resolve may not hold till the end of this financial year. The central bank has already revised its GDP growth projection for the current financial year downward to 7.2 per cent from its February forecast of 7.8 per cent.

Inflation has given the opposition parties fresh fuel to attack the Narendra Modi-led NDA government, with both Houses of Parliament seeing a disruption in proceedings over price rise. On March 31, Congress leader Rahul Gandhi gar-

PRICES GO NORTH

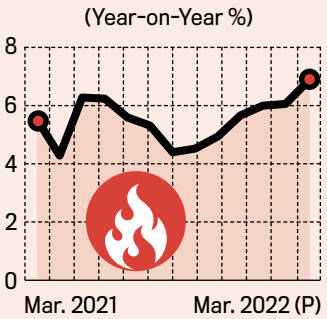
KEY INDICES REFLECTING INFLATIONARY TRENDS IN THE ECONOMY



HEADLINE INFLATION

UP, UP AND UP

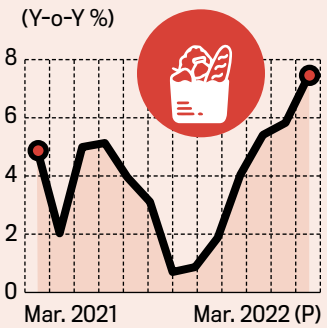
Retail inflation has breached the RBI's targeted range in the last quarter of FY22



FOOD INFLATION

HOT PLATE

After cooling post the pandemic, food prices have begun to go up again



P: Provisional

"Inflation is a major worry. It is more a supply side pressure brought on by external factors. Policymakers need to go on active alert"

– D.K. SRIVASTAVA
Chief Policy Advisor, EY India